

DEADLOCKED Union ministers Goyal and Munda, Punjab CM Mann and farmer leaders at the Jan. 18 talks in Chandigarh

trader," he says. Right now, MSP-based procurement is undertaken to maintain the national buffer stock, stabilise prices and also fulfil the food security commitments to 810 million beneficiaries. In 2023, the Centre spent about Rs 2 lakh crore to honour food subsidy bills.

In the present agriculture structure in Punjab, Haryana and other parts of the country where MSP procurement is prevalent, the bigger farmers also double up as *arhatiya*s, or middlemen. This allows them to aggregate the crops from small and marginal farmers at much cheaper prices. Meanwhile, industry lobby groups argue that MSP-based procurements distort the markets. "If a legal framework for MSP comes up, it will kill the market altogether," says the CEO of a top food processing company. They argue that the big players may buy at MSP, but small food processors—who form 80 per cent of the sector—won't be able to compete and will be wiped out. They argue that what the agri sector needs is to evolve towards a demand-based ecosystem rather than a production-oriented one.

WORK IN PROGRESS

Having been forced to repeal the farm laws in 2021, the Modi government then took a different tack—building infrastructure to decentralise procurement. This included pushing states to take up the Pradhan Mantri Annadata Aay Sanrakshan Abhiyan (PM-AASHA)—an umbrella scheme to ensure MSP to farmers. From 2019, they have also got income support under the PM-KISAN scheme.

In addition, the government has also fortified the warehousing and electronic negotiable warehouse receipt (e-NWR) infrastructure. Ashwani Mahajan, national co-convenor of the Swadeshi Jagran Manch (the RSS affiliate that deals with economic issues), argues that farmers sell their crops at distress (below MSP) not because they haven't got a good price, but because they can only hold on to their crop for so long. "If he [the farmer] has reached the market, he can't take the crop back," Mahajan points out. As of November-end, 2023, 6,929 warehouses with a storage capacity of 41.1 million tonne had been registered with the Warehousing Development and Regulatory Authority. But it's still not enough to make a difference, either on prices or movement of crops or incomes of farmers.

THE DISTRESS IN THE FARM SECTOR IS REAL, PERHAPS WHY MSP FOR THEIR PRODUCE IS SUCH A SENSITIVE SUBJECT IN PUNJAB

TREADING LIGHTLY

For the BJP-ruled Centre, the crisis couldn't have come at worst time. Its only hope is that the agitation doesn't spread beyond Punjab. Clashes and human casualties could escalate matters. The 'khap' panchayats in Haryana are threatening to join the strike and the Samyukt Kisan Morcha (SKM), the umbrella body of farmer unions that spearheaded the 2020-'21 protests, as well as the Bharatiya Kisan Union (Ugrahan), one of the largest such outfits in Punjab, are also bristling. The latter held day-and-night protests in front of the residences of BJP MPs, ministers and MLAs in Punjab during February 20-22.

After the repeal of the farm laws, the Modi government had in July 2022 appointed a 29-member committee under former agriculture secretary Sanjay Agarwal to deliberate on MSP-related issues, among other things. The SKM was invited to send three nominees, but it refused, possibly because the panel was packed with government experts and BJP sympathisers. Union agriculture minister Arjun Munda has now called for a fifth round of talks, saying everything was on the table, "including MSP and FIRs [filed against the protesters]". That offer may be still-born if the death of the young farmer at Khanauri takes a political turn. New Delhi has to come up with an honourable solution soon, before the situation gets out of hand. A legal framework for MSP will then be the least of the Modi government's worries. ■